



IMAGING Solomon Lewis

## Finance Minister Jaswant Singh's pre-election bonanza for consumers means you can buy PCs, laptops mobile phones and even DVDs at never-before prices. Are you heading for the nearest store yet?

**A**n eminent Indian economist once said: "In India, development takes place once every five years." He was obviously referring to election economics, a once-in-five-years *tamasha* of the great Indian democracy, when politicians suddenly remember the populace that voted them into power. But surely, cynicism is not the order of the day in the first decade of the 21st century—India is developing at a much higher pace than the infamous "Hindu rate of growth", a term coined by economist Raj Krishna—interest rates are at an all-time low, the BSE Sensex is at an all-time high, and wonder of wonders, even the Indian cricket team has the might to take on the best in the world.

Perhaps, this is why, Finance Minister Jaswant Singh's pre-election treat for the IT industry, though as exquisitely timed as a V V S Laxman leg glance, is not looked upon with too much derision—it serves as the perfect foil to the national sentiment that the middle class is finally getting its due.

Singh made the first round of duty cuts on January 8, 2004, when it was amply clear that this year's Budget would be postponed due to early elections. It took a long time coming for consumers, but the halving of excise and customs duties, and the

elimination of special additional duty (SAD) on desktop computers, laptops, cellphones and optical media products such as pre-recorded DVDs and VCDs, was good news.

For instance, the Customs Duty on cellphones was reduced from 10 per cent to five; the excise duty on computers was halved from 16 per cent to eight. He abolished any duty on imports of pre-recorded DVDs and VCDs. And as the icing on the duty-cuts-cake, Singh even allowed people flying in from abroad to carry one laptop in—no questions asked if it is carried as part of the baggage.

### Wow, that's good, isn't it?

Well yes, but it was not so for quite some time for consumers. Despite the finance minister's announcement, manufacturers were still wary of announcing price cuts for more than 10 days, until the first cookie crumbled in the form of Philips, which cut its prices of LCD monitors between five and 20 per cent, and that of CRT monitors by three to four per cent. Ironically, the minister did not cut any duty for monitors, but consumers could finally expect something concrete. In fact, for one LCD monitor—the Philips 170S4—the price came down from Rs 27,000 to Rs 23,000.

Later, Dell announced a 11 per cent price cut on some of its desktops, servers and notebooks. Mid-January, LG also announced price-cuts on its LG My PC range of computers.

Says Vinnie Mehta, Executive Director, Manufacturers Association of Information Technology (MAIT): "These average price cuts of eight to 10 per cent will not only benefit end-users, but also boost the IT industry in India. They will be able to offer more to Indian consumers. The industry believes that there will be a rise of 35 to 40 per cent in sales, up from the 30 per cent they expected before the duty cuts."

However, until this article went into print, only a handful of companies, namely, Dell, Kobian, Nokia, Zenith, LG and Philips actually effected a price-cut. Zenith, perhaps India's largest manufacturer of aggressively-priced PCs and laptops, announced a price-cut just two days, but refrained from giving actual figures. Says Devita Saraf, Marketing Director, Zenith Computers, "The new duty structure may cause PC prices to reduce by as much as 10 to 12 per cent." A K Patni, Managing Director, PCS Industries, another low-priced-products manufacturer, agrees: "PCS will cut its prices between 10 and 14 per cent soon." HCL Infosystems Chairman and